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3M Company (MMM.N)

Solid 3Q26 Results; Data Center Opportunity Encouraging, but Demand Remains Mixed

CITI'S TAKE

We think MMM reported mixed but solid 3Q26 results, with adj. sales of $6.58bn largely inline with Citi/Street estimates of $6.61bn and adj. EPS of $2.50 above Citi/Street estimates of $2.37/$2.39 (although $0.04 of the beat reflected a reporting-basis change not captured in our model). MMM continues to progress across its commercial eXcellence initiatives, although underlying demand across MMM's end markets remain mixed (general industrial and safety better, while consumer electronics worsening), which we think could impact near-term growth potential (MMM missed our 3Q organic growth forecast). That said, we are encouraged by MMM's expanded strategic commercial relationship with AMZN (to deploy and scale its optical connectivity/other data center-related products), which we think could accelerate growth across its data center vertical. Operating execution continues to be solid (led by strong performance in S&I, while T&E lagged), reflecting MMM's ongoing "self-help" actions that we think should support EPS growth expectations.

Neutral	
Price (19 Oct 26 16:00)	US$162.01
Target price	US$183.00
Expected share price return	13.0%
Expected dividend yield	1.9%
Expected total return	14.9%
Market Cap	US$83,552M

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2026 EPS guidance update — MMM reiterated its '26 organic sales growth guidance of >3.5% vs. Citi pre-print estimate of 3.8%. The company raised its adj. EPS guidance range to $9.10-$9.15 from $8.95-$9.10 on the new/comparable basis (MMM adjusted the reporting basis with intangible asset amortization treated as a special item); Citi/Street pre-print estimate was $8.95 (vs previous range of $8.80-$8.95). Operating margin in '26 is expected to be ~24.6% (on the new basis) which represents ~70bps of y/y margin expansion vs. prior range of 24.1%-24.2%, representing 70-80bps of y/y margin expansion (on the old basis).

3Q26 organic growth — MMM reported 3Q26 adj. organic growth of 3.3% that came in below our pre-print 3.8% estimate. At the segment level, organic sales growth in Safety & Industrial (7.0% vs. our 7.3%), Transportation & Electronics (0.5% vs. our 1.0%), and Consumer (-0.2% vs. 0.5%) fell short of our pre-print forecast.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

3Q26 adj. operating margin — MMM reported 3Q26 adj. op margin of 26.2% (up ~110bps yoy) that came in above our 25.3% pre-print forecast (even after adjusting for 40bps benefit from the reporting change). At the segment level, Safety & Industrial operating margin were 30.1% (up 300bps y/y vs. our up 200bps y/y pre-print forecast), Transportation & Electronics segment margin came in at 23.4% (down 90bps y/y vs. our pre-print assumption of flat y/y change), and Consumer segment operating margin were 23.0% (up 80bps y/y vs. our pre-print forecast of down 30bps y/y).

FCF — MMM reported 3Q26 adj. FCF of $1.2bn that came slightly below Citi/Street estimate of ~$1.34bn. MMM expects 2026 FCF to be ~$4.8bn (vs. the previous range of $4.7bn-$4.9bn previously; Citi pre-print estimate of $4.87bn).

Implications — We think MMM is controlling what it can control, and while progress on commercial eXcellence initiatives, ongoing self-help actions, and accelerating data center growth/exposure are encouraging indicators, still mixed end markets create a challenging operating backdrop and could limit share appreciation in our view.

3M Company

Valuation

Our $183 target price is based on 19x our 2027 EPS estimate of $9.65. Our multiple balances improving operating execution by the company offset by mixed end market trends and litigation related uncertainty. Our TP is benchmarked against market multiples.

Risks

To the downside, MMM generates more than ~30% of sales from developing markets. MMM's Electronics business in particular accounts for a bulk of MMM's Asian exposure, is tied to more volatile trends in semiconductors, TVs, and overall Asian economic growth, and, given the possible continuation of macro uncertainty, could be poised for more moderate growth in the near-term. We also have to keep an eye on MMM's Industrial business that could weaken beyond expectations if macro uncertainty lingers. Finally, a challenge for MMM from a valuation perspective is the overhang of potential PFAS related liability and its magnitude, particularly if found liable for personal injury. These factors could prevent MMM from reaching our target price.

To the upside, MMM could surpass our target price if MMM's end markets recover faster than our expectation and macro uncertainty ebbs. Additionally, if potential PFAS-related liability were to be mitigated/removed by regulatory action (eg, EPA), then the company could materially outperform our target price.

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Appendix A-1

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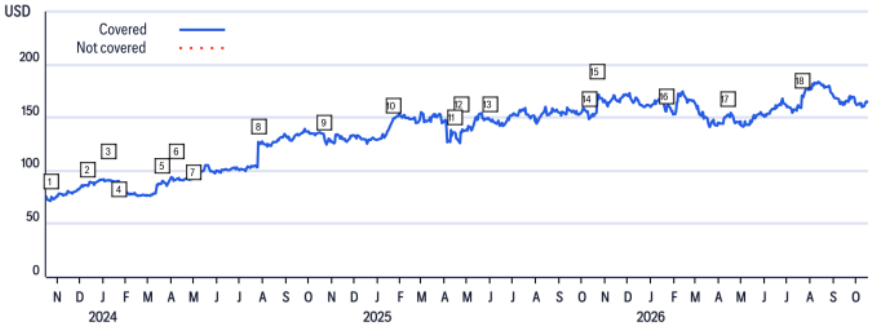
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3M Company (MMM)

Ratings and Target Price History
Fundamental Research

Analyst: Andrew Kaplowitz



	Date	Rating	Target Price	Closing Price
1	24-Oct-23 18:41:27	2	*81.10	75.35
2	11-Dec-23 06:20:36	2	*92.80	86.25
3	08-Jan-24 07:33:53	2	*97.82	91.02
4	23-Jan-24 22:53:24	2	*86.95	80.35
5	20-Mar-24 07:36:08	2	*95.31	90.39
6	08-Apr-24 06:11:51	2	*98.00	91.93

	Date	Rating	Target Price	Closing Price
7	30-Apr-24 20:48:28	2	*100.00	96.51
8	28-Jul-24 22:46:53	2	*133.00	127.16
9	22-Oct-24 19:02:40	2	*142.00	131.73
10	21-Jan-25 19:44:08	2	*152.00	146.89
11	14-Apr-25 04:00:00	2	*142.00	136.01
12	22-Apr-25 18:40:19	2	*141.00	136.33

	Date	Rating	Target Price	Closing Price
13	30-May-25 04:00:00	2	*160.00	148.35
14	09-Oct-25 07:14:55	2	*169.00	152.88
15	21-Oct-25 19:33:58	2	*181.00	166.64
16	20-Jan-26 19:23:40	2	*175.00	156.12
17	13-Apr-26 04:03:41	2	*166.00	152.79
18	21-Jul-26 17:29:11	2	*183.00	170.76

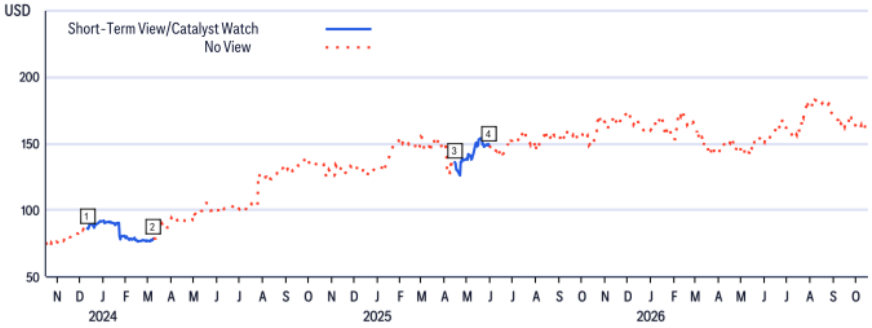
*Indicates Change

Rating/target price changes above reflect Eastern Time

3M Company (MMM)

Short-Term View/Catalyst Watch Research

Analyst: Andrew Kaplowitz



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Dec-23 01:20:36	Add CW	Upside	90 Days	86.25
2	08-Mar-24 11:05:12	Remove CW	Upside	90 Days	78.51

	Date	Action	Expected Direction	Duration	Closing Price
3	14-Apr-25 00:00:00	Add STV	Downside	90 Days	136.01
4	30-May-25 00:00:00	Remove STV	Downside	90 Days	148.35

CW - Catalyst Watch , STV - Short-Term View

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	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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